

Why This Firm: The Evidence Briefing

Goldman Sachs — Asset & Wealth Management / Client Solutions Group · a source-labelled, plain-English case built on numbers and named deals, not praise

Labels: **OFFICIAL** firm/regulator source · **CORROBORATED** multiple independent reputable sources · **ANECDOTAL** single source · **INFERRED** reasoning, not fact · Figures date-stamped; anything >~18 months old flagged. Compiled 16 Aug 2026.

How to read this: every claim carries a label and a date. Marketing claims are separated from substantiated differentiators, and where a "unique" selling point is actually industry-standard, it says so. Section 5 distils everything into three interview-ready reasons, each anchored to one named deal and one number. Section 6 lists what could not be verified — treat those items as unknown, not false.

1. How the firm makes money, from first principles

Goldman Sachs earns **fees for solving financial problems for large clients** — it has no high-street business. Full-year 2025: net revenues **\$58.3bn**, net earnings **\$17.2bn**. **OFFICIAL — FY2025 results, Jan 2026** Two reporting segments dominate:

Division	FY2025 revenue	The actual mechanics	Sticky or cyclical?
Global Banking & Markets (GBM)	\$41.5bn (≈71%) OFFICIAL	Three engines: advisory/underwriting fees (\$9.3bn — paid per deal when companies merge or raise money); equities (\$16.5bn) and FICC (\$14.5bn — bonds, currencies, commodities) — earned from the spread between buy and sell prices when trading with investor clients, plus financing them.	Cyclical. Every deal and trade must be re-won; revenue swings with market activity.
Asset & Wealth Management (AWM)	≈\$16–17bn (≈29%) INFERRED — remainder after GBM; the small Platform Solutions segment is inside this remainder and I could not isolate it (see §6)	Management fees: a percentage of client assets, charged daily on a record \$3.6 trillion of assets under supervision (AUS) at end-2025; Q4 2025 management & other fees hit a record \$3.1bn for the single quarter . Plus incentive fees (\$489m FY25, +24%) when funds beat targets, and lending/banking income from wealth clients. OFFICIAL — Q4 2025 results	Sticky. Fees accrue for every day a client stays; Q4 alone saw \$66bn of long-term fee-based net inflows. OFFICIAL

The strategic point beneath the numbers: the smaller division is the growth priority precisely *because* its revenue is recurring — stock markets pay more per dollar of predictable fees than volatile trading profits. Management's push for "durable revenue" is stated openly in earnings materials. **CORROBORATED — earnings calls and coverage, 2024–26**

2. The real moat — mechanisms, not slogans

First, honesty about what is NOT a moat: "putting clients first," "excellence," "global reach" and awards appear in every large manager's marketing — they differentiate nothing. The items below are structural.

Moat	The mechanism — why rivals can't easily copy it
1. The integrated platform ("One Goldman Sachs") OFFICIAL policy + INFERRED as moat	AWM's investors and client teams sit inside the same firm as a top-tier markets franchise, research department and banking relationships. A pure asset manager cannot bolt this on (building a bulge-bracket markets business from scratch is effectively impossible today — regulatory capital, licences, decades of client flow), and most banks' AM arms lack Goldman's alternatives scale. The corporate whose bonds GS underwrites is the same corporate whose pension GS can manage — the client graph is shared. Only J.P. Morgan structurally resembles this.

2. The OCIO franchise and its reference flywheel OFFICIAL numbers	OCIO = a client outsourcing its <i>entire</i> investment function. \$480bn of OCIO assets (31 Mar 2026), #1 in the US. The mechanism: trustee boards choosing an OCIO look first at peers' choices, so each mega-win (BAE → UPS → Shell → Lilly → Verizon/Lockheed) lowers the risk of the next client saying yes — and switching costs are brutal (re-papering an entire investment programme), so the book compounds. A rival can't buy references; it can only earn them one multi-year pursuit at a time.
3. The lift-out capability OFFICIAL — stated in BAE and UPS releases	In its biggest wins, the client's own in-house investment team <i>transfers into Goldman</i> and keeps serving the client from inside. Mechanism: this requires the scale, infrastructure and credibility to absorb a whole professional team — and it converts the client's deepest asset (its own people) into a bond with the manager. Almost no competitor has done this repeatedly at this size.
4. Full-shelf breadth CORROBORATED	Top-tier simultaneously in public markets, alternatives (\$627bn , Dec 2025) and solutions/OCIO. BlackRock dwarfs it in passive but not alternatives; Blackstone dwarfs it in alternatives but has no public-markets platform; boutiques have neither. Mechanism: each leg takes decades and different DNA to build; owning all three lets one firm answer a consolidation-minded client alone.
5. Talent density & partnership CORROBORATED	Sub-1% intern acceptance for three straight years (~2,500 offers from 300k+ applications); an internal partnership (~400 elected partners) preserved since the 1999 IPO. Mechanism: selection at that ratio plus a partner prize at the summit is a talent magnet rivals with ordinary corporate ladders can't replicate. <i>Caveat: hard to quantify its effect — treat as real but soft.</i>

3. Peer comparison, with numbers

Fair metric: assets under management/supervision (scale of client trust), end-2025 unless noted. Revenue mixes differ, so AUM is the cleanest like-for-like.

Firm	Scale (end-2025)	What they're genuinely best at	Where they beat Goldman / Goldman beats them
BlackRock	\$14.04tn AUM, record; ~\$700bn net new assets in 2025 CORROBORATED	Passive scale: iShares ETFs (\$527bn of 2025 inflows alone), technology (Aladdin), lowest cost	Beats GS on: sheer scale, index/ETF, cost. GS beats it on: bank-integrated platform, bespoke OCIO with lift-outs, and (relative to size) alternatives depth.
J.P. Morgan AWM	≈ \$4.1tn AUM CORROBORATED	The closest structural rival: another bank-integrated manager, huge active-ETF and wealth franchises	Beats GS on: total AM scale, retail fund distribution. GS beats it on: OCIO leadership (#1 US), alternatives scale, the lift-out record.
Morgan Stanley IM	\$1.895tn AUM; record \$6.5bn revenue 2025 CORROBORATED	Wealth-led model; Parametric customisation	Smaller in AM; GS leads on institutional solutions and alternatives.
Blackstone	≈\$1.1–1.2tn, alternatives only ANECDOTAL — verify current figure	The alternatives pure-play benchmark; largest private-capital fundraiser	Beats GS on: alternatives scale and margins. GS beats it on: everything outside alternatives — publics, OCIO, the integrated shelf.

So what is Goldman precisely best AT? Not scale (BlackRock), not alternatives alone (Blackstone), not retail distribution (JPM). It is best at **whole-portfolio institutional solutions**: #1 US OCIO, \$480bn, the only firm repeatedly executing team lift-outs at £20bn+ scale, on a shelf spanning publics + \$627bn alternatives + a bank's ecosystem.

INFERRED synthesis of the official numbers above

Weaknesses and risks (know these cold): (1) AM is still only ~29% of firm revenue — group results remain hostage to trading cycles; (2) subscale in passive/ETF against BlackRock with no realistic path to parity; (3) strategy credibility scars: the consumer-banking (Marcus) retreat cost billions before the AWM refocus **CORROBORATED**; (4) OCIO is contested — Delta, IBM and Exelon have re-internalised pensions, and a \$24bn

corporate CIO argues plans >\$5bn should stay in-house **ANECDOTAL — Institutional Investor**; (5) fee compression is industry-wide and relentless.

4. Proof by named deals — the moat in action (last ~3 years)

Deal / win	Date	What happened & why it's notable	Edge showcased
BAE Systems Pension Schemes £23bn OCIO OFFICIAL	Sep 2023	Trustees outsourced ~£23bn of UK defined-benefit assets — the largest OCIO mandate ever awarded in the UK — and BAE's in-house investment team joined GSAM. Cited capabilities: LDI, cashflow-driven investing, manager selection, private markets. <i>Source: GSAM press release; Professional Pensions.</i>	Lift-out capability; UK institutional trust at record scale
UPS \$43.4bn OCIO OFFICIAL	May 2024	OCIO for UPS's US/Canada pension plans — one of the largest corporate OCIO mandates ever; UPS's investment team joined Goldman's Atlanta office. Confirmed GSAM as #1 US OCIO. <i>Source: GSAM press release; AI-CIO.</i>	Repeatability of the lift-out model across continents
Verizon + Lockheed Martin \$70bn+ OFFICIAL	9 Jul 2026	Dual announcement: ~\$30bn DB OCIO across both + ~\$40bn Verizon 401(k) under advisement, lifting OCIO assets to \$480bn. Nachmann: clients consolidating "with one partner with the... depth of platform." <i>Source: GSAM press release; CNBC; P&I.</i>	The flywheel at full speed; freshest possible proof
Shell (\$40bn) & Eli Lilly (\$25bn) OCIO ANECDOTAL	2024–25	Further mega-mandates reported by Institutional Investor in its Verizon/Lockheed coverage. Single-source — verify before quoting numbers aloud.	Breadth of the client roster
NN Investment Partners €1.7bn acquisition OFFICIAL — flagged: >18 months old, but structural	Apr 2022	Bought the Dutch manager: 900 staff joined; ~90% ESG-integrated assets; European AUM pushed past \$600bn; Netherlands made the sustainability centre of excellence. <i>Source: GS press release; ESG Today.</i>	Buying shelf-gaps deliberately (Europe + sustainability)
Alternatives fundraising CORROBORATED	FY2025	\$115bn raised in 2025; \$627bn alternatives AUM; record \$2.37bn alternatives management fees (+8%). <i>Source: 2025 results coverage.</i>	Private-markets engine at scale
Record firmwide AUS OFFICIAL	Q4 2025	\$3.6tn assets under supervision; \$66bn long-term fee-based net inflows in the quarter; record quarterly management fees (\$3.1bn). <i>Source: GS Q4 2025 results.</i>	The durable-fee strategy visibly working
EIB digitally-native bond CORROBORATED	~2024 (flag: dating imprecise)	Goldman worked with the European Investment Bank on blockchain-issued bonds, compressing settlement from days to ~minutes/seconds; part of a tokenisation build including tokenised money-market collateral. <i>Source: public reporting + firm presentations at your insight events.</i>	Innovation applied to plumbing, not press releases

5. The distillation: three "why this firm" reasons no generic candidate can give

Reason 1 — The revenue-texture argument (why AM, why now)

The claim: Goldman is deliberately rebalancing from cyclical trading fees toward durable management fees, and AWM is the engine — making the client-facing seat there the most strategically-backed junior seat in the firm. **Proof deal:** Verizon + Lockheed, \$70bn+, July 2026. **Numbers:** record \$3.6tn AUS; record \$3.1bn quarterly management fees (Q4 25).

Interview scaffold: "What convinced me wasn't the brand — it was the earnings mix. Trading fees have to be re-won every year; management fees accrue for every day a client stays, and the firm is openly rebuilding itself

around that second kind. Five weeks ago two of America's biggest companies handed the firm seventy billion in one announcement. The team that wins and keeps that money is the one I'm applying to."

Reason 2 — The lift-out moat (why Goldman's AM specifically)

The claim: Goldman's differentiator isn't performance claims — every manager makes those — it's that institutions trust it enough to hand over their own investment *staff*, which no rival has done repeatedly at this scale. **Proof deal:** BAE Systems, £23bn, Sep 2023 — the largest UK OCIO award ever, team included. **Number:** \$480bn OCIO, #1 US.

Interview scaffold: "The BAE mandate is what sold me. Trustees didn't just hand over twenty-three billion pounds — they moved their own investment team into Goldman. Having spent my summer onboarding institutional clients, I know how much operational trust a transition like that consumes. That's not marketing; that's the deepest client relationship in asset management, done at the largest scale in UK history."

Reason 3 — The organisation follows the product (why CSG's design)

The claim: Product firms can split selling from servicing; a solutions firm cannot, because the solution is co-designed with the client and the conversation never ends — which is why CSG owns the whole lifecycle, and why that seat teaches what a split model structurally can't. **INFERRED — but grounded in the official structures of both firms and your own employment**
Proof deal: any OCIO win above — the sale *is* the ongoing service design. **Number:** \$66bn of long-term fee-based net inflows in a single quarter (Q4 25) — the metric that lifecycle produces.

Interview scaffold: "I worked in the split model — at Pictet, onboarding and servicing sat separately from sales, which makes sense when you sell defined products. Goldman sells whole-portfolio solutions, and a solution can't be handed off after the pitch, because the design conversation becomes the quarterly review. That's why this group owns the full lifecycle — and owning the full lifecycle is exactly what I couldn't do where I was."

6. What I could not verify — treat as unknown

- AWM's exact FY2025 revenue and profit split (Platform Solutions is inside my "remainder" estimate; the 10-K would resolve it).
- OCIO fee rates (never disclosed) and GSAM's standalone profit margin.
- Shell \$40bn and Eli Lilly \$25bn — single-source (Institutional Investor); no GS press releases found.
- Blackstone's current AUM (my ≈\$1.1–1.2tn is from memory of prior reporting — check before citing).
- The current global OCIO league order (Mercer is the traditional global leader; whether GS's \$480bn now leads globally or only in the US, surveys differ — I verified "#1 US" only).
- CSG's internal headcount, exact team map, and fee-sharing mechanics between coverage and investing teams.
- Precise dating/details of the EIB digital bond issuances beyond public summaries.

Glossary

AUM / AUS	Assets under management/supervision — total client money a firm runs; the base its percentage fees are charged on.
Management fee	The recurring charge (a % of assets per year) clients pay a manager — the "sticky" revenue.
Incentive fee	Extra fee earned only if a fund beats its target.
Net inflows	New client money minus withdrawals — the growth number that matters most.
OCIO	Outsourced Chief Investment Officer — an institution handing its entire investment function (strategy, managers, hedging) to a firm, while trustees keep setting objectives.
DB / DC pension	

Defined benefit: employer promises the payout and bears investment risk. Defined contribution (401(k)-style): employees' own accounts; they bear the risk.

LDI / CDI

Liability-/cashflow-driven investing — building assets to match what a pension owes and when, so funding doesn't swing with rates.

Alternatives

Investments outside public markets: private equity, private credit, property, infrastructure.

FICC

Fixed income, currencies and commodities — the non-equities half of the trading floor.

Underwriting

A bank arranging and guaranteeing a company's new shares or bonds for a fee.

Lift-out

A client's in-house team transferring to the new manager as part of a mandate.

Mandate

A client's formal appointment of a manager to run a pot of money.

One-page summary

Reason	Proof deal	Number	The line (adapt to your voice)
Durable-fee pivot: AM is the firm's chosen engine	Verizon + Lockheed OCIO, 9 Jul 2026	\$3.6tn AUS; \$3.1bn record quarterly mgmt fees	"Trading fees get re-won yearly; management fees accrue daily — and the firm is rebuilding around the second kind. The \$70bn July announcement is that strategy working, and this team is where it's made."
The lift-out moat: trust expressed as headcount	BAE Systems £23bn OCIO, Sep 2023	\$480bn OCIO, #1 US	"BAE didn't just hand over £23bn — their own team moved in. Having onboarded institutions myself, I know what that transition costs in trust. Nobody else does this repeatedly at this scale."
The organisation follows the product: solutions can't split sale from service	Any OCIO win — the sale IS the service design	\$66bn long-term net inflows in Q4 25 alone	"I worked the split model at a product house. Goldman sells solutions, and solutions can't be handed off after the pitch — which is why this group owns the whole lifecycle, and why I'm applying to it."

Primary sources used: Goldman Sachs FY2025 / Q4 2025 earnings release and presentation (goldmansachs.com, Jan 2026); GSAM press releases (BAE Sep 2023, UPS May 2024, Verizon/Lockheed Jul 2026, NN IP Apr 2022); SEC filings. **Reputable secondary:** Institutional Investor, Pensions & Investments, CNBC, Professional Pensions, AI-CIO, ESG Today, Fortune (acceptance-rate data). Peer figures: BlackRock Q4 2025 release/coverage, JPMorgan and Morgan Stanley 2025 reporting via P&I. All URLs were captured in the underlying research documents of this project (docs 13, 15, 16). Anything labelled INFERRED is reasoning, not sourced fact; anything in §6 is unverified — re-check every number you intend to say aloud, as figures move quarterly.